

35 Capital management

8 primary questions | Oldest to newest

2026 objectives: 4.8.1-4.8.3, 5.1.3

7 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 September 2007 Q4	10 marks
CA1-P1 September 2009 Q6	25 marks
CA1-P1 September 2012 Q6	21 marks
CA1-P1 April 2015 Q7	25 marks
CP1-P1 April 2020 Q5	11 marks
CP1-P1 September 2020 Q7	14 marks
CP1-P1 April 2022 Q3	8 marks
CP1-P1 September 2024 Q3	6 marks

CA1-P1 | September 2007 | Q4

[Current topic](#) | [10 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

4 Outline the reasons why the following companies hold capital:

(i) A general insurance company. [5]

(ii) An international pharmaceutical company. [5]

[Total 10]

CA1-P1 | September 2009 | Q6

Current topic | 25 marks total | Original PDF p3

Related: Ch 25, Ch 17.

- 6** A private investment company owned by a small number of shareholders has recently bought a large, under-performing conglomerate, which has a wide range of subsidiaries operating in many domestic industries.

The investment company financed the purchase of the conglomerate by a combination of short-term borrowing and longer-term debt in the form of corporate bonds.

- (i) Explain why the company may have chosen this approach to raising finance rather than issuing new equity. [7]
- (ii) Outline the main risks to the company associated with this method of raising finance. [4]

The investment company now wishes to dispose of about half the subsidiaries of the conglomerate. It intends to finalise the disposals within one year.

- (iii) Explain possible reasons for the nature of this program of disposals. [4]
- (iv) Discuss the criteria and methodology that the investment company should use in undertaking an analysis to determine which subsidiaries should be retained and which should be disposed of. [10]

[Total 25]

CA1-P1 | September 2012 | Q6

Current topic | 21 marks total | Original PDF p3

Related: Ch 9, Ch 10.

6 A professional sports club that is currently leasing its stadium, is looking to move to a new larger stadium that it will develop and own. It needs to raise finance in order to fund the development.

(i) Describe the features of the types of investment assets that the club could issue or use to raise the necessary finance. [7]

(ii) Discuss the factors an investor would consider when providing such finance. [6]

A wealthy individual based in an overseas country has decided to buy the sports club and fund the development of the stadium. The individual will sell all his existing property company shares and use the proceeds to fund the new stadium.

(iii) Outline the different investment characteristics of a portfolio of property company shares compared to the new sports stadium. [4]

(iv) Discuss other practical issues involved in the ownership of an overseas investment [4]

[Total 21]

CA1-P1 | April 2015 | Q7

Current topic | 25 marks total | Original PDF p4

Related: Ch 37, Ch 17.

- 7** A mutual life insurance company sells only annuity business.
- (i) Describe the basic features of a model which projects the company's solvency position over the next 20 years. [7]
 - (ii) Describe why the company may carry out an analysis of the change in its surplus. [8]
 - (iii) Discuss which capital management tools may be suitable for the company. [10]
- [Total 25]

CP1-P1 | April 2020 | Q5

[Current topic](#) | [11 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 5** (i) Outline why a company needs capital. [3]

ABC is a mutual insurance company specialising in providing life cover to the over 50s. ABC has just decided to expand its product range, and is about to launch a mortgage protection product.

- (ii) Suggest possible reasons why ABC could require additional capital. [4]

- (iii) Propose, with reasons, possible actions ABC could take to improve their capital position. [4]

[Total 11]

CP1-P1 | September 2020 | Q7

Current topic | 14 marks total | Original PDF p3

Related: Ch 36.

- 7** The insurance regulator in a country has noticed a significant deterioration in the capital strength of one of the insurance companies it supervises. The regulator has suggested that the insurance company works with a large bank to strengthen its financial position.
- (i) Describe the types of capital management solutions that the bank could offer the insurance company to achieve the regulator's objective. [3]
 - (ii) Describe how effective each solution might be in satisfying the regulator that the insurance company's capital position had improved. [5]

The insurance company is also considering moving from a standard formula approach to an internal model approach to improve its capital strength, subject to obtaining regulatory approval for this change.

- (iii) Discuss the advantages and disadvantages of the insurance company moving to an internal model approach from the perspective of the insurance company. [3]
- (iv) Outline the issues the insurance regulator is likely to consider before agreeing to this change. [3]

[Total 14]

CP1-P1 | April 2022 | Q3

Current topic | 8 marks total | Original PDF p2

Examiner report and original paper: use the links for this question in [index.html](#).

3 (i) Outline possible reasons why each of the following may need to accumulate capital:

- (a) An individual
- (b) An engineering company
- (c) A proprietary insurance company
- (d) A government.

[4]

A mutual insurance company wishes to expand its business, but has limited access to capital markets. The company is therefore proposing to convert itself to a proprietary company.

(ii) Discuss the advantages and disadvantages of the proposal.

[4]

[Total 8]

CP1-P1 | September 2024 | Q3

[Current topic](#) | [6 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 3** A general insurance company selling only motor and home insurance business is concerned about its low solvency capital coverage.
- Suggest possible actions the general insurance company could take to improve its solvency position. [6]